

Nike Inc.

S.No.	Assumptions	Assumptions Rationale
1	Revenue growth rate = 4.00%	FY2025 reflects a deliberate channel and inventory reset, not structural demand weakness. Inventories are flat YoY, FX-neutral trends are stronger than reported, and management emphasizes sustainable long-term growth driven by innovation and brand strength. For a mature \$45B+ global brand, a low-to-mid single-digit rate is appropriate: 4.0% balances normalization post-reset with scale constraints.
2	Gross Margin Forecast	Gross margin is forecast using the FY2022–FY2025 historical average to smooth cyclical volatility and reflect NIKE's normalized mid-cycle margin, held constant across the projection period for simplicity
3	i) Marketing & Admin Expense (Fixed Cost) ii) Other Operating Overhead Expense (% of Sales) iii) Depreciation (% of Sales) iv) Tax Rate (% of EBT)	Forecast assumptions are based on historical averages to smooth cyclical volatility and reflect NIKE's normalized cost and tax structure, applied consistently across the projection period
4	PPE	PPE is forecast using a standard roll-forward based on capital expenditures as a percentage of sales, consistent with NIKE's stable, asset-light operating model
5	Other Non-current Liabilities	Other non-current liabilities are treated as the residual balancing item in the balance sheet, absorbing timing and classification differences not explicitly forecast elsewhere, while core operating liabilities, debt, and equity are modeled based on explicit assumptions.
6	Common stock growth	Common stock and additional paid-in capital increase based on a fixed percentage of revenue, representing ongoing stock-based compensation and other routine equity issuance associated with business growth.
7	Treatment of Repurchases in Equity	Share repurchases are reflected as reductions to retained earnings rather than common stock, consistent with simplified equity accounting practice.
8	Long Term Debt	Long-term debt is assumed to grow at a constant annual rate of 3% over the forecast period, reflecting the company's mature operating profile and management's strategy to benefit from moderate financial leverage while maintaining balance sheet stability.
9	Share repurchases	Share repurchases are modeled as a constant 30% of net income, reflecting a conservative capital return policy that prioritizes balance sheet stability and avoids excessive equity depletion in the forecast period.

Nike Inc. 3 Statement Model USD millions, except per share data	Historical Results -->				Forecast Period -->				
	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
	OK	OK	OK	OK	OK	OK	OK	OK	OK
Assumptions & Drivers									
Days in Period	365	365	365	365	365	365	365	365	365
Income Statement									
Sales Growth		9.65%	0.28%	-9.84%	4%	4%	4%	4%	4%
Gross Margin	45.98%	43.52%	44.56%	42.73%	44.20%	44.20%	44.20%	44.20%	44.20%
Marketing & Admin Expense (Fixed Cost)	8.24%	7.93%	8.34%	10.13%	8.66%	8.66%	8.66%	8.66%	8.66%
Other Operating Overhead Expense (% of Sales)	21.65%	22.37%	22.29%	22.87%	22.30%	22.30%	22.30%	22.30%	22.30%
Depreciation (% of Sales)	1.80%	1.68%	1.64%	1.74%	1.72%	1.72%	1.72%	1.72%	1.72%
Tax Rate (% of EBT)	9.10%	18.24%	14.93%	17.14%	14.85%	14.85%	14.85%	14.85%	14.85%
Balance Sheet									
PPE/ Sales	10.26%	9.64%	9.81%	10.61%	10.08%	10.08%	10.08%	10.08%	10.08%
Capital Asset Turnover Ratio	9.75	10.38	10.19	9.42	9.93	9.93	9.93	9.93	9.93
Trade and other receivables (% of sales)	14.55%	11.86%	12.23%	14.52%	13.29%	13.29%	13.29%	13.29%	13.29%
Inventory Days (COGS Basis)	121.81	106.47	102.37	103.28	108.48	108.48	108.48	108.48	108.48
Payable Days (COGS Basis)	152.01	123.19	122.25	137.33	133.70	133.70	133.70	133.70	133.70
Income Tax Payable	36.69%	20.42%	38.70%	90.32%	46.53%	46.53%	46.53%	46.53%	46.53%
Long Term Debt					2%	2%	2%	2%	2%
Other Non-current Liabilities / sales	11.54%	10.43%	10.09%	10.45%	10.63%	10.63%	10.63%	10.63%	10.63%
Issuance of common shares (% of revenue)	2.46%	1.27%	1.30%	1.19%	1.56%	1.56%	1.56%	1.56%	1.56%
Share repurchase (% of net income)					25.00%	25.00%	25.00%	25.00%	25.00%
Dividend Payout Ratio	30.38%	39.68%	38.05%	71.45%	44.89%	44.89%	44.89%	44.89%	44.89%
CapEx (% of revenue)	1.62%	1.89%	1.58%	0.93%	1.51%	1.51%	1.51%	1.51%	1.51%
Income Statement									
Revenues	46,710	51,217	51,362	46,309	48,161	50,088	52,091	54,175	56,342
Cost of sales	25231	28,925	28,475	26,519	26,874	27,949	29,067	30,229	31,438
Gross Profit	21,479	22,292	22,887	19,790	21,288	22,139	23,025	23,946	24,904
Marketing and Administration	3,850	4,060	4,285	4,689	4,170	4,337	4,511	4,691	4,879
Other Operating Overhead Expense	10,114	11,458	11,447	10,591	10,738	11,167	11,614	12,079	12,562
Depreciation	840	859	844	808	826	859	894	930	967
EBIT (Operating Profit)	6,675	5,915	6,311	3,702	5,553	5,775	6,006	6,246	6,496
Interest Net	205	(6)	(161)	(107)	(17)	(17)	(17)	(17)	(17)
Other Net	(181)	(280)	(228)	(76)	(191)	(191)	(191)	(191)	(191)
Income Before Taxes	6,651	6,201	6,700	3,885	5,762	5,984	6,215	6,455	6,705
Taxes	605	1,131	1,000	666	856	889	923	959	996
Net Income	6,046	5,070	5,700	3,219	4,906	5,095	5,292	5,496	5,709
Common Dividends	1,837	2,012	2,169	2,300	2,202	2,287	2,376	2,467	2,563
Balance Sheet									
ASSETS									
Current Assets:									
Cash	8,574	7,441	9,860	7,464	9,704	12,372	15,131	17,985	20,938
Short-term investments	4,423	3,234	1,722	1,687	1,687	1,687	1,687	1,687	1,687
Trade and Other Receivables	6,796	6,073	6,281	6,722	6,400	6,656	6,922	7,199	7,487
Inventories	8,420	8,454	7,519	7,489	7,987	8,307	8,639	8,984	9,344
Total Current Assets	28,213	25,202	25,382	23,362	25,778	29,021	32,379	35,855	39,455
Non-Current Assets:									
Property Plant and Equipment	4,791	5,081	5,000	4,828	4,855	5,049	5,251	5,461	5,679
Other Non-current Assets	7,317	7,248	7,728	8,389	8,288	7,940	7,588	7,232	6,873
TOTAL ASSETS	40,321	37,531	38,110	36,579	38,920	42,010	45,218	48,548	52,007
LIABILITIES AND SHAREHOLDERS' EQUITY									
Current Liabilities:									
Trade and Other Payables	10,508	9,016	10,059	9,897	9,844	10,237	10,647	11,073	11,516
Income Taxes Payable	222	240	534	669	398	414	429	446	463
Total Current Liabilities:	10,730	9,256	10,593	10,566	10,242	10,651	11,076	11,519	11,979
Non-Current Liabilities:									
Long-Term Debt	8,920	8,927	7,903	7,961	8,120	8,283	8,448	8,617	8,790
Other Non-current Liabilities	5,390	5,344	5,184	4,839	5,119	5,324	5,537	5,758	5,989
Shareholder's Equity:									
Common Stock and Additional Paid-In Capital	11,487	12,415	13,412	14,198	14,947	15,727	16,537	17,380	18,257
Retained Earnings	3,794	1,589	1,018	(985)	492	2,026	3,619	5,274	6,993
Total Shareholders' Equity	15,281	14,004	14,430	13,213	15,439	17,753	20,156	22,654	25,250
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	40,321	37,531	38,110	36,579	38,920	42,010	45,218	48,548	52,007
Check	-	-	-	-	-	-	-	-	-

Cash Flow Statement

Cash Flows from Operating Activities:									
Net Income	6,046	5,070	5,700	3,219	4,906	5,095	5,292	5,496	5,709
Depreciation & Amortization	840	859	844	808	826	859	894	930	967
Other Non-Cash Items	(38)	425	169	458	254	254	254	254	254
Change in Net Working Capital	(1,660)	(513)	716	(787)	(500)	(166)	(173)	(180)	(187)
Net Cash Provided by Operating Activities	5,188	5,841	7,429	3,698	5,486	6,042	6,266	6,499	6,742
Investing Activities:									
Capital Expenditures (CapEx)	(758)	(969)	(812)	(430)	(725)	(754)	(785)	(816)	(849)
Net change in short-term investments	(766)	1,533	1,706	155	-	-	-	-	-
Cash Flows from Investing Activities	(1,524)	564	894	(275)	(725)	(754)	(785)	(816)	(849)
Financing Activities:									
Change in common stock	(2,863)	(4,829)	(3,583)	(2,434)	(477)	(494)	(512)	(531)	(551)
Dividends Paid	(1,837)	(2,012)	(2,169)	(2,300)	(2,202)	(2,287)	(2,376)	(2,467)	(2,563)
Net Change in Debt	(136)	(606)	(136)	(1,086)	159	162	166	169	172
Cash Flows from Financing Activities	(4,836)	(7,447)	(5,888)	(5,820)	(2,520)	(2,619)	(2,722)	(2,830)	(2,941)
Effect of exchange rate changes on cash and equivalents	(143)	(91)	(16)	1	-	-	-	-	-
Increase/(Decrease) in Cash and Equivalents	(1,315)	(1,133)	2,419	(2,396)	2,240	2,668	2,759	2,854	2,952
Cash and Equivalents, Beginning of the Year	9,889	8,574	7,441	9,860	7,464	9,704	12,372	15,131	17,985
Cash and Equivalents, End of the Year	8,574	7,441	9,860	7,464	9,704	12,372	15,131	17,985	20,938

Supporting Schedules

Working Capital Schedule									
Current Assets	28,213	25,202	25,382	23,362	25,778	29,021	32,379	35,855	39,455
Current Liabilities	10,730	9,256	10,593	10,566	10,242	10,651	11,076	11,519	11,979
Net Working Capital	17,483	15,946	14,789	12,796	15,536	18,370	21,303	24,336	27,476

Charts & Graphs

